CHAPTER 10

Tax Treaty Provisions

An Expanded Study Guide

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This document expands on the lecture slides with detailed explanations, worked examples, and exam-focus notes. All article references are to the **OECD Model Tax Convention** unless stated otherwise.

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Introduction: Why Do Tax Treaties Exist?

When a person earns income that crosses international borders, two countries often claim the right to tax that same income — the country where the income arises (**source state**) and the country where the taxpayer lives (**residence state**). This creates **international double taxation**, which discourages cross-border investment and trade.

Tax treaties (formally: Double Taxation Conventions, or DTCs) are bilateral agreements between two states that **allocate taxing rights** and **eliminate double taxation**. The vast majority of the world's tax treaties are based on the **OECD Model Tax Convention**, whose articles are the backbone of this chapter.

To benefit from a tax treaty, a taxpayer must clear **two gateway tests**:

- (1) **Personal scope** — the taxpayer must be a *resident* of one or both contracting states (Arts. 1 & 4).
- (2) **Material scope** — the tax at issue must be a type of tax covered by the treaty (Art. 2).

10.1 Material Scope of Application — Article 2

What Does Article 2 Say?

> *Article 2(1): This Convention shall apply to taxes on income and on capital imposed on behalf of a Contracting State or of its political subdivisions or local authorities, irrespective of the manner in which they are levied.*
>
> *Article 2(4): The Convention shall also apply to any identical or substantially similar taxes that are imposed after the date of signature of the Convention in addition to, or in place of, the existing taxes.*

Key Points

- **Only taxes on income and capital are covered.** The following are <u>NOT</u> covered: VAT, customs duties, succession/inheritance duties, social security contributions, and most local levies that are not income or capital taxes.
- **Level of government is irrelevant.** Whether the tax is levied by the central government, a region, a province, or a municipality, it is still covered — as long as it is a tax on income or capital.
- **Non-exhaustive list (Art. 2(3)).** The treaty lists 'in particular' the taxes to which it applies. Because the word 'particularly' is used, the list is not closed — other income/capital taxes not explicitly listed may still fall within scope.
- **Future taxes are also covered (Art. 2(4)).** If a contracting state introduces a new tax after the treaty is signed that is 'identical or substantially similar' to the listed taxes, that new tax is also covered. The competent authorities must notify each other of significant tax law changes.
- **Exception:** Art. 24 (non-discrimination) is one provision that can apply even to taxes not covered by Art. 2 in some contexts.

EXAM FOCUS — Know what is NOT covered (VAT, social security, succession duties). Expect scenario questions asking whether a specific tax falls within the treaty's scope.

10.2 Personal Scope of Application — Articles 1 & 4

Article 1: The Basic Rule

> *This Convention shall apply to persons who are residents of one or both of the Contracting States.*

Two questions therefore arise: (a) Who counts as a **person**? (b) What makes someone a **resident** of a contracting state?

Who Is a 'Person'? — Article 3(1)(a)-(b)

> *The term 'person' includes an individual, a company and any other body of persons. The term 'company' means any body corporate or any entity that is treated as a body corporate for tax purposes.*

- **Individuals** — natural persons.
- **Companies** — any legal entity taxed as a corporation.
- **Other bodies of persons** — e.g., partnerships (depending on how they are classified under domestic law), trusts, estates, etc.

Who Is a 'Resident'? — Article 4

> *For the purposes of this Convention, the term 'resident of a Contracting State' means any person who, under the laws of that State, is liable to tax therein by reason of his domicile, residence, place of management or any other criterion of a similar nature ... This term, however, does not include any person who is liable to tax in that State in respect only of income from sources in that State or capital situated therein.*

Breaking Down the Definition

- **'Liable to tax'** — The person must be subject to tax in that state based on a *personal nexus* (domicile, residence, place of management, or similar). This means the state has the right to tax the person's *worldwide income* (unlimited tax liability).

– Important distinction: being **liable to tax** (the legal obligation exists) is <u>not the same as</u> actually paying tax (**subject to tax**). An exempt entity (e.g., a pension fund) that is still theoretically within the scope of the tax law is 'liable to tax' and therefore qualifies as a resident.

- **Territorial tax systems** — Some states (e.g., Hong Kong, Panama) only tax domestic income, not worldwide income. A person resident in such a state is still a 'resident' under Art. 4 *if* the basis of residence is a personal nexus (e.g., physical presence/domicile), not merely the fact of earning local income.
- **Exclusion clause** — A person who is only liable to tax in a state in respect of income *from sources in that state* (not worldwide) is <u>not</u> a resident for treaty purposes. This prevents third-country residents from claiming treaty benefits simply because they earn local income.
- **States and subdivisions** — A contracting state itself, its political subdivisions, and recognised pension funds are also considered residents.

EXAM FOCUS — Frequently tested: the difference between 'liable to tax' and 'subject to tax'. You do not need to actually pay taxes to qualify as a resident — the liability must merely exist.

Dual Residence — Individuals: Tie-Breaker Rules (Art. 4(2))

A person can be a 'resident' under the *domestic law* of both contracting states simultaneously — for example, one state uses domicile and the other uses a days-of-presence test. To avoid a situation where both states claim full residence, Art. 4(2) provides a cascade of **tie-breaker rules**, applied *in strict sequential order*. Only if a test fails to produce a conclusive result do you move to the next.

Priority	Test	Key Concept
1	Permanent home	Where does the individual have a dwelling continuously available at all times? Any form of home qualifies (owned, rented, borrowed) — the key is permanence, not ownership.
2	Centre of vital interests	Which state has the closer personal and economic ties? Looks at: family, social relations, occupations, political/cultural activities, place of business. Personal relations are generally decisive.
3	Habitual abode	Where does the individual customarily or usually spend time? Not a simple day-count; only stays that are part of the settled routine of life are counted. Days in transit are excluded.
4	Nationality	Of which state is the individual a national (citizen)?
5	Mutual agreement	If none of the above tests resolves the tie, the competent authorities of the two states negotiate a solution under Art. 25 (not examined in detail).

Closer Look: Permanent Home (Test 1)

- The home can be **any form of dwelling**: apartment, house, rented room, etc.
- What matters is **permanence** — the individual must have the home continuously available, not just for short occasional stays (e.g., holidays or business trips).
- If the individual has a permanent home in *both* states, this test is inconclusive → move to test 2.

Closer Look: Centre of Vital Interests (Test 2)

- Assessed **as a whole**: no single factor is automatically decisive.
- Typical factors: where the family lives, where social/professional life is centred, where bank accounts, clubs, church attendance, political activity are found.
- In practice, **personal (family) relations** tend to outweigh economic relations if the two point in different directions.

Dual Residence — Companies: Article 4(3)

Companies can also be dual-resident. This arises because states use different connecting factors: one state may use the **place of incorporation**, another the **place of effective management**. The 2017 OECD Model removed the automatic tie-breaker (place of effective management) for companies and now requires a **mutual agreement procedure** (MAP). Factors considered: place of effective management, place of incorporation, and any other relevant factors.

EXAM FOCUS — Know the 5 tie-breaker tests for individuals and their order. For companies: remember the shift to MAP under the 2017 OECD Model.

10.3 Income from Immovable Property — Article 6

The Basic Rule

Article 6 allocates the right to tax income from immovable property to the **state where the property is situated (the source state)**. This is a *shared* taxing right (the word used is 'may be taxed'), meaning the residence state can also tax — but must then grant relief under Art. 23.

What Counts as 'Immovable Property'?

- The primary reference is the **domestic law of the source state**. If something is 'immovable property' under source-state law, it is covered.
- Regardless of source-state domestic law, the treaty *always* covers:
  - Livestock and equipment used in agriculture and forestry
  - Rights to variable or fixed payments as consideration for the working of, or the right to work, mineral deposits, sources and other natural resources
- **Ships and aircraft are expressly excluded** from 'immovable property'. Income from their operation is governed by Article 8.

Capital Gains — Article 13(1)

The OECD Model maintains **symmetry** between recurrent income from immovable property (Art. 6) and capital gains on its sale (Art. 13(1)). Both are taxable exclusively in the state where the property is located. This makes commercial sense: the state that taxes ongoing rental income should also be able to tax the gain when the property is sold.

EXAM FOCUS — Art. 6 + Art. 13(1) together: source state has EXCLUSIVE taxing rights over both income AND gains from immovable property.

10.4 Business Profits — Articles 5, 7 & 8

The Fundamental Problem

When a company resident in State A (the 'home state') carries on commercial activities in State B (the 'source state'), two taxation claims arise: State A taxes on worldwide profits, and State B wants to tax the locally generated profits. The treaty must allocate who gets to tax what.

- **Two ways to operate abroad:**

– **Separate legal person** (e.g., a subsidiary): creates a new company tax-resident in State B. That entity is taxed in State B as a local company. Double taxation is addressed by the parent-subsidiary rules or treaty dividends provisions (Art. 10).

– **Permanent establishment (PE)**: the original company remains tax-resident only in State A but carries on activities in State B through a branch or office. There is no new legal person.

The General Rule — Article 7

> *Business profits of an enterprise of a Contracting State shall be taxable only in that State (= home state) unless the enterprise carries on business in the other Contracting State through a permanent establishment. If it does, the other state may tax the profits, but only to the extent they are attributable to that PE.*

The PE concept therefore acts as a **threshold**: the source state can only tax if the foreign enterprise has a sufficient presence there. Without a PE, all profits go to the home state.

Article 5: What Is a Permanent Establishment (PE)?

There are **two types** of PE: the **Fixed Place PE** (Arts. 5(1)–(4)) and the **Agency PE** (Arts. 5(5)–(6)).

A. Fixed Place PE — Article 5(1): The General Definition

> *A fixed place of business through which the business of an enterprise is wholly or partly carried on.*

Three cumulative elements must *all* be present:

Element 1 — A Place of Business

- Any kind of **material (physical) presence** suffices. The concept is very broad.
- Does *not* need to be a building, office, or formal premises. Examples: a machine, server, pipeline, vending machine, oil well, circus tent, kiosk.
- Can be located in the premises of *another* enterprise.
- The nature of the legal right over the place is irrelevant — ownership, rent, licence, or even illegal occupation can suffice.
- **Key requirement**: the location must be *at the disposal* of the enterprise, meaning it has effective control to use it to conduct its business. Merely visiting a customer's premises rarely creates a PE.

Element 2 — Fixed

- 'Fixed' has two dimensions:

– **Geographically fixed**: there must be a link between the place of business and a specific geographic location.

– **Temporally fixed**: the business must be carried on with a degree of permanence. There are *no fixed time thresholds* in the general rule — assessed case by case.

- Activities across **multiple locations** in the same state can still constitute a *single* PE if they form a coherent commercial and geographic whole (e.g., a mine with shifting extraction sites; a trader with different stalls in the same outdoor market).

Element 3 — Business of the Enterprise Is Carried On Through That Place

- The activities must be **commercial in nature**. It is not required that the PE is profitable or carries on the same activities as the head office.
- Activities are *normally* conducted by personnel, but personnel is *not* a strict requirement. Automated equipment (vending machines, gaming machines, pipelines) can create a PE.
- Simply **making property available** (e.g., passively renting out a building without managing it) does *not* usually constitute carrying on a 'business' for PE purposes.

B. Article 5(2): Non-Exhaustive List of Examples

> *The term 'permanent establishment' includes especially: (a) a place of management; (b) a branch; (c) an office; (d) a factory; (e) a workshop; (f) a mine, an oil or gas well, a quarry or any other place of extraction of natural resources.*

The word 'especially' makes clear this list is *not exhaustive*. These examples give a first indication that a PE may exist, but each must still satisfy all three elements of Art. 5(1) on a case-by-case basis.

C. Article 5(3): Construction Sites — Special Rule

> *A building site or construction or installation project constitutes a permanent establishment only if it lasts more than twelve months.*

- This is the **only case where a minimum time threshold is specified** in the OECD Model. The general rule of Art. 5(1) has no fixed minimum.
- Broad scope: includes construction of roads, bridges, canals, pipelines, and installation projects. Does *not* cover mere maintenance work or planning activities.
- For **different construction sites**, the 12-month threshold is applied *separately* to each site — unless the sites form a *single commercial whole*, in which case they count as one PE.

D. Article 5(4): The Negative List — Preparatory or Auxiliary Activities

Even if a fixed place meets the Art. 5(1) definition, a PE is deemed *not* to exist if the activity is purely **preparatory or auxiliary** in nature. Article 5(4) lists specific excluded activities:

a)	Storage, display, or delivery of goods belonging to the enterprise
b)	Maintenance of a stock of goods solely for storage, display or delivery
c)	Maintenance of a stock of goods solely for processing by another enterprise
d)	Maintaining a fixed place solely to purchase goods or collect information for the enterprise
e)	Maintaining a fixed place solely to carry on any other preparatory/auxiliary activity for the enterprise
f)	Any combination of (a)–(e), provided the overall activity is preparatory or auxiliary

Three conditions must ALL be met for the negative list to apply:

- (1) The activity is **preparatory or auxiliary** in character — it must not be the *core business* of the enterprise.
- (2) The activity is **expressly listed** in Art. 5(4).
- (3) The activity is carried out **exclusively for the head office** of the enterprise (not for a related company, a client, or a third party).

EXAM FOCUS — Negative list: if an e-commerce warehouse does both storage AND processing of returns for customers, it is no longer purely 'preparatory or auxiliary' — the negative list would NOT apply.

E. Agency PE — Article 5(5)

> *Where a person is acting in a Contracting State on behalf of an enterprise and in doing so habitually concludes contracts, or habitually plays the principal role leading to the conclusion of contracts that are routinely concluded without material modification by the enterprise, and these contracts are: (A) in the name of the enterprise, or (B) for the transfer of ownership of, or for the granting of the right to use, property owned by that enterprise, or (C) for the provision of services by that enterprise — that enterprise shall be deemed to have a PE in that State.*

The Agency PE concept catches situations where a foreign enterprise does not have a physical location in the source state but uses a *dependent agent* there to effectively carry on its business. Key points:

- **Who triggers it?** Any person (individual or company) acting on behalf of the foreign enterprise — can be an employee, a related company, or even an independent contractor if they are economically dependent.
- **'Habitually concludes contracts'**: the agent must do this repeatedly, not just once or twice. The 2017 revision also extended this to agents who 'habitually play the principal role' in concluding contracts that are then routinely rubber-stamped by the enterprise.
- **Independent agent exception (Art. 5(6))**: A truly independent agent acting in the ordinary course of its business does NOT create an Agency PE. Independence is tested both legally and economically.

Article 7: Attribution of Profits to a PE

> *The profits attributable to the PE are the profits it might be expected to make if it were a separate and independent enterprise engaged in the same or similar activities under the same or similar conditions, taking into account the functions performed, assets used and risks assumed by the enterprise through the PE and through the other parts of the enterprise.*

- **No 'force of attraction'**: the mere fact that income is sourced in the PE-state does NOT automatically mean it is attributable to the PE. Example: if the head office makes a direct sale to a customer in State B without any involvement of the PE in State B, that profit stays with the home state.
- **Authorised OECD Approach (AOA)**: the PE is treated as a hypothetical separate and independent enterprise (the 'functionally separate entity' approach). Profits are determined by analysing: functions performed, assets used, and risks assumed by the PE.
- **OECD Transfer Pricing Guidelines** apply to transactions between the PE and the rest of the enterprise, just as they would apply between associated enterprises.

Article 8: International Shipping and Air Transport

> *Profits of an enterprise of a Contracting State from the operation of ships or aircraft in international traffic shall be taxable only in that State.*

- **Exception to Art. 7** — even if the airline/shipping company has a PE in the other state, Art. 8 overrides and confines taxation to the home state.
- **What is 'international traffic'?** Art. 3(1)(e): any transport by ship or aircraft EXCEPT when operated solely between places in a single contracting state by an enterprise of the other state. Example: a Swedish airline flying Copenhagen–Oslo = international traffic (covered by Art. 8). A Swedish airline flying Oslo–Bergen = domestic Norwegian traffic (Art. 7 applies, not Art. 8).
- **Ancillary activities** are also covered (e.g., cargo handling, container leasing activities directly connected to the transport).

Capital Gains on Business Assets — Article 13(2) and (3)

- **Art. 13(2)**: Capital gains from the alienation of movable property forming part of the business property of a PE may be taxed in the PE-state. This includes the gain from selling the PE itself.
- **Art. 13(3)**: Gains from the alienation of ships, aircraft, or movable property in international traffic are taxable *exclusively* in the home state of the enterprise (consistent with Art. 8).

EXAM FOCUS — Know the interplay between Art. 5, 7, and 8. A classic exam scenario: does a foreign company's activity in State B constitute a PE? Apply the three-element test, check the negative list, check the Agency PE rules.

10.5 Employment Income — Articles 15–19

General Remarks: A Closed System

Articles 15–19 form a **closed, self-contained system** for income from employment. Article 15 is the *lex generalis* (general rule) and Articles 16–19 are *leges speciales* (specific rules). Whenever a special rule applies, it takes precedence over Art. 15.

Article	Type of Income	Taxing Right
15	General employment (salaries, wages)	Residence state; work state if work done there
16	Directors' fees	State of residence of the paying company
17	Entertainers & sportspersons	Performance state (where activity is exercised)
18	Private sector pensions	Exclusively in recipient's residence state
19	Government sector salaries & pensions	Paying state (with 'close connection' exception)

Article 15: General Employment Income

The Scope: What Income Does Art. 15 Cover?

> *'Salaries, wages and other similar remuneration derived … in respect of an employment.'*

- Very **broad concept**: *any* remuneration received by reason of an employment relationship, regardless of its form or timing.
- Includes **exceptional payments** such as signing bonuses, golden handshakes, golden parachutes, and non-compete payments.
- **The reason for the payment is decisive, not the timing.** A bonus paid one year after the employment ends can still be employment income under Art. 15 if it relates to past services.

Exceptional Payments After Employment Ends

- **Severance payments**: OECD Commentary suggests allocation on a *pro-rata basis* reflecting where the employment was exercised over the relevant period.
- **Non-compete payments**: taxable only in the *residence state* at the time of payment, since they relate to future restraint, not past work.

The Basic Rule — Article 15(1)

- **General rule**: employment income is taxable *only* in the employee's **state of residence**.
- **Exception**: if the employment is *physically exercised* in another state (the 'work state'), that work state may also tax the income *attributable* to those workdays.
- **How is the attribution calculated?** Proportion of workdays spent in the work state ÷ total workdays × total salary.

The Exception to the Exception — Article 15(2): The 183-Day Rule

Even where work is physically done in another state (which normally triggers source-state taxing rights under Art. 15(1)), the **work state loses its taxing right** if **all three** of the following conditions are met simultaneously:

Condition	Description	Underlying Rationale
1 — Days	The employee's physical presence in the work state does NOT exceed 183 days in any 12-month period commencing or ending in the fiscal year.	Short-term presence has limited economic impact on the work state.
2 — Employer	The remuneration is NOT paid by, or on behalf of, an employer who is a RESIDENT of the work state.	Matching principle: if the employer deducts salary in the work state, that state should have the right to tax it.
3 — PE	The remuneration is NOT borne by a permanent establishment that the employer has in the work state.	Again matching principle: PE deductions → PE-state gets taxing right.

Practical consequence: if ALL THREE conditions are satisfied, only the residence state taxes. As soon as ONE condition fails, the work state regains its taxing right.

Condition 1 in Detail: Counting 183 Days

- **What counts as 'presence'?** All days (and parts of days) spent in the work state, including weekends, holidays, sick days, and arrival/departure days — even when not working.
- **Exceptions** to the day-count: (1) days of illness that prevent the employee from leaving the work state are excluded; (2) days spent in transit through the work state are excluded.
- **Twelve-month period**: the 183-day period is measured over any rolling 12-month window that either starts or ends in the relevant tax year (not necessarily a calendar year). This prevents artificial splitting of stays across year-end.

Condition 2 in Detail: Matching Principle

- **Paid 'by'**: the employer (not resident in the work state) directly pays and bears the cost.
- **Paid 'on behalf of'**: a third party (e.g., a subsidiary in the work state) advances the salary, but the *real economic cost* is ultimately borne by the employer (not in the work state) — e.g., via an inter-company recharge.
- Both situations are caught by the condition ('or'). The key is where the *ultimate economic burden* of the salary lies.

Article 15(3): Employment Aboard Ships or Aircraft

- An employee working aboard a ship or aircraft in international traffic is taxed *exclusively* in their **state of residence**.
- Rationale: the physical-presence test of Art. 15(1)/(2) is impossible to apply in practice (the vessel moves between jurisdictions constantly).
- Only for employees *aboard* ships/aircraft. Truck drivers, train drivers, and sales representatives travelling internationally are NOT covered by Art. 15(3) and follow the general Art. 15(1)/(2) rules.

EXAM FOCUS — Exam-critical: the 183-day exception. All three conditions must hold simultaneously. If any ONE fails, the work state gets to tax. Watch for scenarios involving employer-resident-in-work-state or salary borne by a PE in the work state.

Article 16: Directors' Fees

- Directors' fees are taxable in the state where the **paying company is resident** — regardless of where the director lives or where board meetings are held.
- Rationale: it is practically difficult to track where directors perform their management functions.
- Scope: monthly salary, *tantièmes* (profit-linked remuneration), and attendance fees paid for board participation.
- Note: if a director also performs ordinary employment services (not director capacity), that portion falls under Art. 15.

Article 17: Entertainers and Sportspersons

Article 17 is an **exception to both Art. 7 and Art. 15**. It allocates taxing rights to the **performance state** — where the public activity takes place — regardless of whether the person is an employee or independent contractor, regardless of how many days they spend in that state, and regardless of whether they have a PE there.

Who Is an 'Entertainer'?

- Theatre, motion picture, radio/television artists, musicians performing publicly. Performances broadcast via media are included.
- Must be a **public performance with entertainment character**. Visual artists (sculptors, painters) are generally *not* covered.
- Support staff — camera operators, directors, choreographers, road crew — are *not* covered by Art. 17 (they fall under Art. 15 or 7).

Who Is a 'Sportsperson'?

- Broad concept: athletes in traditional sports AND golfers, football players, tennis players, racing drivers, billiard players, snooker, chess, bridge.
- Coaches, nutritionists, physiotherapists, mechanics are *not* sportspersons.

What Income Is Covered?

- **Only payments for the public performance**. Example: a musician's performance fee at a live concert → Art. 17. Revenue from streaming or CD sales of recordings from that same concert → *not* Art. 17 (likely Art. 12 royalties or Art. 7 business profits).
- **Sponsorship money**: covered if there is a *close connection* to a specific performance (e.g., logo on jersey during the match). General year-round sponsorship unrelated to a particular performance → not Art. 17.
- **Preparatory activities** (rehearsals, training): considered part of normal activities → covered by Art. 17 and taxed in the performance state.

Article 17(2): The 'Rent-a-Star' Anti-Abuse Rule

Without Art. 17(2), an entertainer could avoid source-state taxation by routing the performance fee through a company they control. Art. 17(2) extends the performance-state taxing right to any situation where income from the activity is paid **to a third party** (not the entertainer personally). Importantly, Art. 17(2) applies even where there is *no abuse* — any third-party payment for a performance triggers it.

EXAM FOCUS — Art. 17 overrides Art. 7 and Art. 15: no need for a PE, no 183-day test. The performance state always taxes. Art. 17(2) catches the 'rent-a-star' structure.

Article 18: Pensions (Private Sector)

- Covers pensions and **other similar remuneration paid in consideration of past employment** in the *private* sector.
- Government/public pensions: governed by Art. 19, *not* Art. 18.
- Scope: not just payments to the former employee — also widow's/survivor pensions are covered.
- **Exclusively taxable in the recipient's state of residence.** The source state (paying state) has no taxing right.
- Payments from individual life insurance contracts with no link to past employment are *not* covered by Art. 18 (likely Art. 21 other income).

Article 19: Government Services

Covers salaries, wages, and pensions paid by a government or political subdivision for services rendered to that government.

Article 19(1)(a): General Rule for Salaries

- Income paid by a government is taxable *only* in the **paying state** — regardless of where the services are performed or where the employee lives.

Article 19(1)(b): Exception

The work state (not the paying state) may tax if **all three** of the following apply:

- (1) The employment is exercised in the work state (the *other* contracting state, not the paying state).
- (2) The employee is a resident of the work state.
- (3) The employee has a **close connection** to the work state: either (a) is a national of the work state, OR (b) did not become a resident of the work state solely for the purpose of rendering those services.

Rationale for the 'close connection' requirement: An ambassador or consular official posted abroad should still be taxed at home. But if a local national happens to be employed by a foreign government in their own country, it is more natural for the local (work) state to tax.

Article 19(2): Government Pensions

- Same logic as Art. 19(1): taxed in the paying state, subject to the same 'close connection' exception.

State-Owned Enterprises: Important Exception

- If the government carries on a *commercial business* (e.g., a state-owned airline, railway, or telecom company), employees are treated as private-sector employees → Art. 15, 16, 17, or 18 apply, *not* Art. 19.

EXAM FOCUS — Art. 19 exam trap: does the 'close connection' exception apply? Check (1) where work is performed, (2) where employee resides, (3) nationality or prior residence.

10.6 Investment Income — Articles 10, 11 & 12

Active vs. Passive Income: The Fundamental Distinction

Feature	Business Profits (Active)	Investment Income (Passive)
Articles	Arts. 7, 8	Arts. 10, 11, 12
Primary taxing right	Source state (if PE exists)	Residence state of recipient
Source-state right	Full taxation (if PE)	Limited withholding tax only
PE requirement	Yes — no PE, no source-state tax	No PE needed for source state to WHT

Article 10: Dividends

Dividends are distributions from a company resident in one state to a shareholder resident in another. The OECD Model grants **shared taxing rights**: both the residence state of the shareholder AND the source state of the distributing company may tax, but the source state is capped.

Withholding Tax Rates Under the OECD Model

Situation	Source State WHT Rate	Condition
Substantial shareholding (parent-subsidiary)	Maximum 5%	Direct holding ≥ 25% of capital of the distributing company; held continuously for 365 days including the day of payment (anti-'dividend-stripping' rule)
All other cases (portfolio / individuals)	Maximum 15%	No special condition required

The withholding tax is withheld by the *distributing company* at the time of payment and remitted to the source state's treasury. The shareholder receives the dividend net of WHT and then claims relief (exemption or credit) in the residence state under Art. 23.

The Beneficial Ownership (BO) Requirement

The reduced WHT rates in Art. 10(2) are only available if the recipient is the **beneficial owner** of the dividend. This anti-avoidance rule targets **treaty shopping** — routing payments through a conduit company in a favourable-treaty country.

- 'Beneficial owner' has an **economic (not merely legal) meaning**: the recipient must have the right to freely use and enjoy the income without being bound to pass it on to another party.
- A conduit company that is legally obliged to transmit dividends to a parent in a non-treaty state is *not* the beneficial owner.

Treaty Shopping Example (from slides): AustriaCo pays dividends to BermudaCo. Austria–Bermuda: no treaty, 25% WHT. Austria–Luxembourg: treaty, 0% WHT. Luxembourg domestic law: no outgoing WHT. The group inserts LuxCo (legally obliged to pass dividends to BermudaCo) to reduce WHT to 0%. → LuxCo is NOT the beneficial owner → reduced treaty rate does NOT apply.

Important: the same beneficial ownership requirement applies to interest (Art. 11) and royalties (Art. 12).

Article 11: Interest

- Interest arises in a state where the borrower (the payor) is resident. The creditor/lender is resident in the other state.
- **Shared taxing rights**: the residence state of the lender may tax (usually fully); the source state may also tax, but capped at **10% WHT** on the gross amount.
- The BO requirement also applies.
- 'Interest' generally means income from debt claims — bonds, loans, debentures, deposits. Penalty payments for late payment are generally not 'interest'.

Article 12: Royalties

Royalties are payments for the use of, or the right to use, intellectual property. The OECD Model grants **exclusive taxing rights to the residence state of the beneficial owner**.

- **What qualifies as a royalty?** Payments for: copyrights (literary, artistic, scientific works), patents, trademarks, designs/models, secret formulas, and know-how (industrial, commercial, or scientific experience).
- **No source-state WHT under the OECD Model** — all taxing rights go to the residence state of the recipient.
- **Important exception — UN Model**: Many bilateral treaties with developing countries follow the UN Model, which allows the source state to levy a limited WHT on royalties (typically 10–15%). So in practice, purely residence-state taxation of royalties is not universal.
- The BO requirement applies here too.

Summary: Investment Income at a Glance

Income Type	Article	Source State WHT	Residence State	BO Required?
Dividends (substantial)	10	Max 5%	May also tax	Yes
Dividends (portfolio)	10	Max 15%	May also tax	Yes
Interest	11	Max 10%	May also tax	Yes
Royalties (OECD Model)	12	None (0%)	Exclusive right	Yes

EXAM FOCUS — Investment income: remember the WHT caps (5/15/10/0). The BO requirement applies to ALL three types. Royalties under the OECD Model: 0% source WHT (but UN Model treaties differ).

10.7 Students — Article 20

Article 20 protects students and business apprentices studying abroad from being taxed in the country of study on payments received for their maintenance, education, or training.

Conditions

- (1) The person is a **student or business apprentice** who is physically present in Contracting State A *solely for the purpose of education or training*.
- (2) The person is (or was immediately before visiting State A) a **resident of Contracting State B**.
- (3) The person receives a **payment from a source outside State A**, made for the purpose of maintenance, education, or training.

Consequence: State A (the study state) is *not* entitled to tax those payments. The student's home state (State B) retains the right.

What Is NOT Covered?

- Income earned from services performed in State A (e.g., a part-time job) is *not* exempt under Art. 20. It is covered by Art. 15 (if employee) or Art. 7 (if self-employed).
- Investment income, prizes, or grants from within State A also fall outside Art. 20 and are governed by the applicable distributive article.

EXAM FOCUS — Art. 20 only covers: (a) students, (b) studying abroad, (c) payments from outside the study state, (d) for maintenance/education/training. Employment income from working in the study state is fully taxable under Art. 15.

10.8 Other Income — Article 21

Article 21 is the **residual catch-all provision**. It applies to any item of income that is *not* covered by Articles 6–20.

- **Taxing right**: exclusively in the **recipient's state of residence**. The source state has no right to tax.
- **Examples**: maintenance (alimony) payments; gambling and lottery winnings; pensions of self-employed persons (no link to employment); certain scholarships not covered by Art. 20.
- Art. 21 should be seen as a safety net — if income fits into any of Arts. 6–20, Art. 21 does not apply.

10.9 Elimination of Double Taxation — Articles 23A & 23B

When Is Article 23 Needed?

Many distributive articles allocate taxing rights to one state only ('shall be taxable *only* in'). Where only one state can tax, there is no double taxation and Article 23 is not needed.

However, some distributive articles allow both states to tax simultaneously ('may be taxed in'). Examples: Art. 6 (immovable property), Art. 10 (dividends), Art. 11 (interest). In these cases, Article 23 requires the **residence state** to grant relief.

- **Art. 23 imposes obligations only on the residence state**, not the source state. The source state's right to tax is left intact.
- Two alternative relief mechanisms exist in the OECD Model:

– **Exemption method** — Article 23A
– **Credit method** — Article 23B

A. The Exemption Method — Article 23A

> *Where a resident of a Contracting State derives income which, in accordance with the provisions of this Convention, may be taxed in the [source] State, the [resident] State shall, subject to the provisions of paragraphs 2 and 3, exempt such income from tax.*

The residence state simply **excludes the foreign income from its tax base**. The income is taxed only once — in the source state.

Economic Philosophy: Capital Import Neutrality (CIN)

The exemption method promotes **Capital Import Neutrality (CIN)**: all investments in a given country are subject to the same local tax rate, regardless of the investor's home country. A Belgian investor and a German investor earning rental income from French property both pay French tax at the same rate — their residence-country tax systems do not distort the competitive balance in France.

Two Variants of the Exemption Method

- **Full exemption**: the foreign income is completely disregarded in the residence state. The residence state taxes only the domestic income, at the domestic income rate.
- **Exemption with progression**: the foreign income is excluded from the tax base, BUT the residence state may still use it to determine the *applicable tax rate* (progression clause). The higher combined income pushes the taxpayer into a higher bracket, and that higher rate then applies to the domestic

- income only.

Worked Example — All Three Exemption Variants

Facts: Individual resident in State R. Total income = 100,000. 80,000 sourced in State R; 20,000 sourced in State S (taxed at 20% in Scenario 1, 40% in Scenario 2). State R progressive rates: 30% avg on 80,000; 35% avg on 100,000.

Step 0: Without Any Relief (Double Taxation)

	Scenario 1 (S rate 20%)	Scenario 2 (S rate 40%)
Tax in State R (35% × 100,000)	35,000	35,000
Tax in State S	4,000	8,000
TOTAL TAX (double taxation)	39,000	43,000

Step 1: Full Exemption (State R exempts the 20,000)

State R taxes only on 80,000 (its domestic income). Rate applied: 30% (average rate applicable to 80,000).

	Scenario 1	Scenario 2
Tax in State R (30% × 80,000)	24,000	24,000
Tax in State S	4,000	8,000
TOTAL TAX	28,000	32,000
Relief granted in State R vs. no-relief	11,000	11,000

Why is the relief 11,000 and not just 7,000? Because the exemption has two effects: (1) it removes 20,000 from the base, saving 35% × 20,000 = **7,000**; and (2) the lower base (80k instead of 100k) triggers a lower average rate (30% instead of 35%), saving an additional 5% × 80,000 = **4,000**. Total relief = 7,000 + 4,000 = **11,000**. This is independent of the State S tax rate, which is why both scenarios give the same relief.

Step 2: Exemption with Progression

State R exempts the 20,000 from its tax base but uses the full 100,000 to determine the applicable rate. Rate applied: 35% (rate for 100,000), applied only to the domestic 80,000.

	Scenario 1	Scenario 2
Tax in State R (35% × 80,000)	28,000	28,000
Tax in State S	4,000	8,000
TOTAL TAX	32,000	36,000
Relief granted in State R vs. no-relief	7,000	7,000

Under exemption with progression, the relief (7,000) is lower because the higher rate (35%) is still applied to the domestic income — the progression clause ensures the taxpayer does not benefit from an artificially lower bracket.

B. The Credit Method — Article 23B

> *Where a resident of a Contracting State derives income […] which may be taxed in the [source state], the [home state] shall allow as a deduction from the tax on the income of that resident an amount equal to the income tax paid in [the source state]. Such deduction shall not exceed that part of the income tax, as computed before the deduction is given, which is attributable to the income which may be taxed in the [source state].*

The residence state taxes the taxpayer's **worldwide income** (including the foreign income) but then allows a **tax credit** for taxes paid in the source state.

Economic Philosophy: Capital Export Neutrality (CEN)

The credit method promotes **Capital Export Neutrality (CEN)**: a taxpayer pays the same total tax regardless of whether they invest at home or abroad. The combined tax burden always equals the higher of the two rates — effectively the residence-state rate (assuming it is higher than the source-state rate). This prevents capital from flowing to low-tax countries purely for tax reasons.

Two Variants of the Credit Method

- **Full credit**: the residence state deducts the *entire* amount of foreign tax paid. If the foreign tax exceeds the residence-state tax on that income, the excess is refunded. (Used rarely in practice.)
- **Ordinary (limited) credit**: the deduction is capped at the residence-state tax attributable to the foreign income (= residence rate × foreign income). If foreign tax > this cap, the excess is not refunded — this is called an 'excess foreign tax credit'. This is the OECD Model approach and the most common in practice.

Worked Example — Credit Method

Same facts as before: total income 100,000 (80k domestic, 20k foreign). State R: 35% average rate on 100,000. State S: 20% (Scenario 1) or 40% (Scenario 2). Ordinary credit cap = 35% × 20,000 = 7,000.

Full Credit

	Scenario 1	Scenario 2
Hypothetical tax in State R (35% × 100,000)	35,000	35,000
Less: tax paid in State S (full credit)	(4,000)	(8,000)
Actual tax due in State R	31,000	27,000
TOTAL TAX (State R + State S)	35,000	35,000

Under full credit, the total tax is ALWAYS equal to the residence-state tax (35,000), regardless of the foreign rate — perfect CEN.

Ordinary (Limited) Credit

Credit is capped at 35% × 20,000 = **7,000**.

	Scenario 1 (S rate 20%)	Scenario 2 (S rate 40%)
Hypothetical tax in State R (35% × 100,000)	35,000	35,000
Less: foreign tax (capped at 7,000)	(4,000)	(7,000)
Actual tax due in State R	31,000	28,000

TOTAL TAX (State R + State S)	35,000	36,000
Relief granted in State R	4,000	7,000

Scenario 2: the foreign rate (40%) exceeds the cap (7,000), so the taxpayer bears 8,000 in State S but only gets 7,000 credit in State R. The 1,000 excess foreign tax is unrelieved — this is the classic 'excess foreign tax credit' problem under the ordinary credit method.

Summary Comparison: All Four Methods

Sc.1 = State S rate 20% (foreign tax = 4,000). Sc.2 = State S rate 40% (foreign tax = 8,000). State R tax on worldwide income without relief = 35% × 100,000 = 35,000.

Method	State R tax (Sc.1)	State R tax (Sc.2)	State S tax (Sc.1)	State S tax (Sc.2)	Total (Sc.1)	Total (Sc.2)	Philosophy
No relief	35,000	35,000	4,000	8,000	39,000	43,000	—
Full exemption	24,000	24,000	4,000	8,000	28,000	32,000	CIN
Exemp. w/ prog.	28,000	28,000	4,000	8,000	32,000	36,000	CIN
Full credit	31,000	27,000	4,000	8,000	35,000	35,000	CEN (pure)
Ordinary credit	31,000	28,000	4,000	8,000	35,000	36,000 ■	CEN

■ Ordinary credit Sc.2: foreign tax paid = 8,000 but credit is capped at 35% × 20,000 = 7,000. State R credits only 7,000, leaving 1,000 of foreign tax unrelieved ('excess foreign tax credit'). Total = 28,000 + 8,000 = 36,000.

EXAM FOCUS — Know the mechanics of all four methods and be able to compute the tax outcomes. CIN (exemption) vs. CEN (credit) is a frequently tested conceptual distinction.

Quick Reference: All Distributive Articles

The following table summarises the key allocation rules across all distributive provisions. Use this as a rapid diagnostic tool in exam scenarios.

Article	Income Type	Primary Taxing Right	Notes
6	Immovable property income	Source state (may be taxed)	Art. 13(1) mirrors for gains
7	Business profits	Home state ONLY unless PE	Source state taxes only PE profits
8	Intl. shipping/air	Home state ONLY	Overrides Art. 7
10	Dividends	Residence state + source (5%/15% WHT)	BO required
11	Interest	Residence state + source (10% WHT)	BO required
12	Royalties	Residence state ONLY (OECD)	UN Model allows source WHT
13(1)	Immov. property gains	Source state	Mirrors Art. 6
13(2)	PE asset gains	PE state	Incl. sale of PE itself
13(3)	Shipping/aircraft gains	Home state	Mirrors Art. 8
15	Employment income	Residence state; work state if work done there	Art. 15(2): 183-day exception
16	Directors' fees	State of paying company	Simplification rule
17	Entertainers/sports	Performance state	Overrides Arts. 7 & 15
18	Private pensions	Residence state ONLY	Linked to past employment
19	Govt. salaries/pensions	Paying state (with exception)	Close connection → work state
20	Student payments	Not taxed in study state	Must be from outside study state
21	Other income	Residence state ONLY	Catch-all residual provision

End of Chapter 10 Expanded Study Guide — Good luck on your exam!